



Study Notes

# Federal Finance & Finance Commission

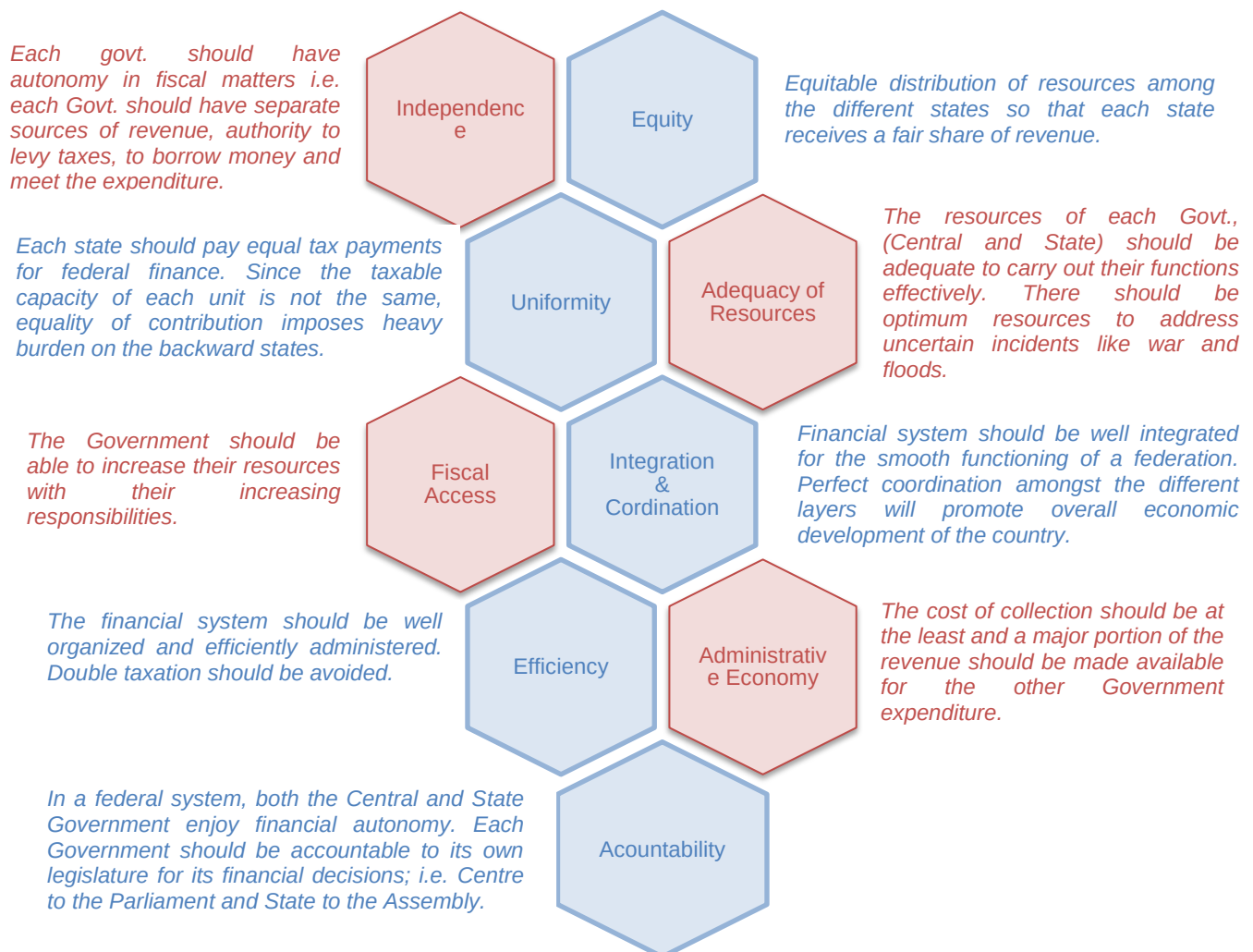
## Introduction

A **Federation** is a form of Government in which the political power is vested between the Central and State Governments so that each Government can function independent of each other. To initiate a smooth functioning of the Government, the practice of Federal Finance is essential.

**Federal finance** refers to the system of assigning the source of revenue to the Central as well as the State Governments for the efficient discharge of their respective functions.

## Federal Finance System: Principles

There are few principles that the Federal Government needs to follow for its efficient functioning:



**Figure 1. Principles of Federal Finance**

## Federal Finance System: Challenges and Solutions

The existence of a Federal Government has both its pros and cons. It is very ambiguous to decide which level of government will perform the specific functions as per community preference. Hence, some of the loopholes and their corresponding solutions are tabulated below:

### Challenges

- **Imbalance between Revenue & Expenditure** - considerable divergence between the sources of revenue and functional expenditure obligations among the different levels of the government
- **Political scenario** - Increasing conflict between the Centre and State in matters regarding the distribution of financial resources owing to political and ideological grounds.
- **Tax competition** – To attract more trade and capital from elsewhere, one state may reduce or abolish a certain type of tax. This will hinder the smooth flow of interstate trade and generate regional disparities in development.
- **Lack of coordination and Multiplicity of taxing and spending activities** – Though each Government is entrusted with individual responsibilities, there are instances where there is duplication or miss out of work due to proper coordination, leading to wastage of resources.
- **Vertical Fiscal Imbalance** –divergence between the revenue and expenditure obligations among the governments. Some state governments find it difficult to manage the revenue-expenditure programme in a balanced manner owing to continuous increase in the welfare oriented programmes.

In a situation of greater expansion of financial resources of central government, and shrinking of resources of state and local governments due to increasing expenditure on welfare activities, the resource gap vertically between the Centre and the states is called vertical fiscal imbalance.

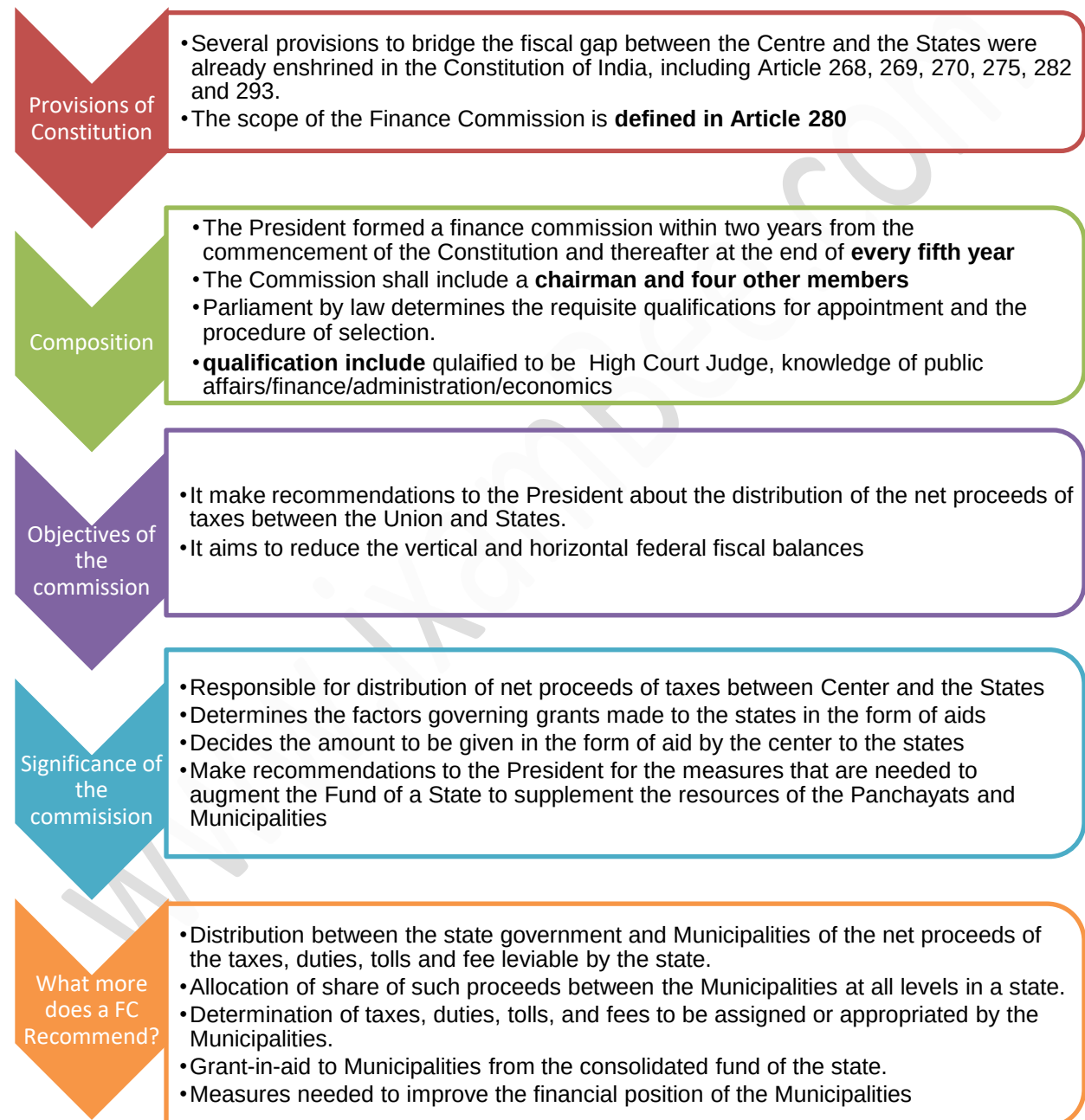
- **Horizontal Fiscal Imbalance** - Horizontal imbalance occurs between units at the same level of sovereignty. When fiscal imbalance occurs between different units of government at the same level of government in a federation, it is a case of horizontal fiscal imbalance.

### Solutions

- Allocation of revenue sources to finance expenditure functions, to be done in a specified manner amongst various levels of government
- Vertical fiscal equality between the Centre, state and local level public expenditure and resources can be attained by:
  - **Tax sharing:** A tax is levied and collected by single administration but proceeds are shared mutually.
  - **Tax credit:** a superior government unit allows a credit against its tax to anyone who pays the same kind of tax to subordinate units. This method eliminates tax competition problem and thereby increases the capacity of the subordinate units.
  - **Tax deductibility:** Permission is granted by one government to de-duct tax paid from the tax payers upon which another government levies taxes.
  - **Tax denial:** The government may put restrictions on state and local government taxing powers. It includes denial of power to subordinate jurisdictions to levy certain taxes, putting a ceiling on the tax rule used by the lower level governmental unit
  - **Tax supplement:** To maintain uniformity in taxes, the higher level government collects the tax with an additional duty imposed by the lower level government.
  - **General, matching & selective grants-in-aid:** Three types of grant-in-aid are levied to correct the vertical imbalance
- Horizontal fiscal imbalance is corrected through equalization of fiscal residue. The gap in fiscal residue is nullified by interstate transfer of resources.

## Finance Commission: Introduction

The Finance Commission is a **constitutional body** that determines the process for **distributing the tax proceeds between the Centre and states**, and among the states as per the constitutional arrangement and present requirement. The Finance Commission was **established in 1951 by Dr B.R. Ambedkar**, the then incumbent law minister, to address vertical and horizontal fiscal imbalances.



## Summary of Finance Commissions till date

| Finance Commission | Year of establishment | Chairman             | Operational duration | Share of States in Income Tax proceeds                                                       |
|--------------------|-----------------------|----------------------|----------------------|----------------------------------------------------------------------------------------------|
| First              | 1951                  | K.C.Neogi            | 1952–57              | 55%                                                                                          |
| Second             | 1956                  | K. Santhanam         | 1957–62              | 60%                                                                                          |
| Third              | 1960                  | A. K. Chanda         | 1962–66              | 65% (corporation tax removed from ambit of Income tax and not shared with states)            |
| Fourth             | 1964                  | P. V. Rajamannar     | 1966–69              | 75%                                                                                          |
| Fifth              | 1968                  | Mahaveer Tyagi       | 1969–74              | 75%                                                                                          |
| Sixth              | 1972                  | K. Brahmananda Reddy | 1974–79              | 80%                                                                                          |
| Seventh            | 1977                  | J. M. Shelat         | 1979–84              | 85%                                                                                          |
| Eighth             | 1983                  | Y. B. Chavan         | 1984–89              | 85%                                                                                          |
| Ninth              | 1987                  | N. K. P. Salve       | 1989–95              | 85%                                                                                          |
| Tenth              | 1992                  | K. C. Pant           | 1995–0               | 77.5% (penalties and interest receipts included in divisible pool with States)               |
| Eleventh           | 1998                  | A. M. Khusro         | 2000–05              | 29.5% (of net proceeds from all shareable central taxes and duties)                          |
| Twelfth            | 2002                  | C. Rangarajan        | 2005–10              | 30.5% (share of states at 29.5% if the states levy sales tax on sugar, textiles and tobacco) |
| Thirteenth         | 2007                  | Dr. Vijay L. Kelkar  | 2010–15              | 32%                                                                                          |
| Fourteenth         | 2013                  | Dr. Y. V Reddy       | 2015–20              | 42%                                                                                          |
| Fifteenth          | 2017                  | N. K. Singh          | 2020–25              | 41%                                                                                          |

Criteria and weights for the horizontal distribution of the tax

Before the 10<sup>th</sup> FC, the distribution between various states was based on two major criteria –Population (80–90% and contribution (20–10%). The criteria 10<sup>th</sup> FC onwards are summarised below in Table 1.

Table 1. Criteria and weights for horizontal distribution of the tax 10<sup>th</sup> FC onwards (in %)

| Finance Commission         | 10 <sup>th</sup> | 11 <sup>th</sup> | 12 <sup>th</sup> | 13 <sup>th</sup> | 14 <sup>th</sup>                      | 15 <sup>th</sup> |
|----------------------------|------------------|------------------|------------------|------------------|---------------------------------------|------------------|
| Income Distance            | 60               | 62.5             | 50               | -                | 50                                    | 45               |
| Population                 | 20 (Census 1971) | 10 (Census 1971) | 25 (Census 1971) | 25 (Census 1971) | 17.5 (Census 1971) + 10 (Census 2011) | 15 (Census 2011) |
| Infrastructure Index       | 5                | 7.5              | -                | -                | -                                     | -                |
| Fiscal Discipline          | -                | 7.5              | 7.5              | 17.5             | -                                     | -                |
| Tax effort                 | 10               | 5.0              | 7.5              | -                | -                                     | 2.5              |
| Fiscal Capacity discipline | -                | -                | -                | 47.5             | -                                     | -                |
| Area                       | 5                | 7.5              | 10               | 10               | 15                                    | 15               |
| Forest Cover               | -                | -                | -                | -                | 7.5                                   | -                |
| Forest and Ecology         | -                | -                | -                | -                | -                                     | 10               |
| Demographic Performance    | -                | -                | -                | -                | -                                     | 12.5             |

### Box 1: Understanding the criteria used in horizontal distribution

- **Income distance** is the distance of the state's income from the state with the highest income. Goa has the highest per capita GSDP followed by Sikkim. But, they are very so, to avoid distortions, the State with the third highest per capita GSDP – Haryana, has been taken as the benchmark. The income of a state has been computed as average per capita GSDP during the three-year period (2015-16 and 2017-18). States with lower per capita income would be given a higher share to maintain equity among states.
- **Population** is an indicator of the expenditure needs of a state. Over the years, Finance Commissions have used population data of the 1971 Census. The 14th Finance Commission used the 2011 population data, in addition to the 1971 data. The 15th Finance Commission has been mandated to use data from the 2011 Census.
- **Area** is used as a criterion as a state with larger area has to incur additional administrative costs to deliver services.
- **Forest cover** indicates that states with large forest covers bear the cost of not having area available for other economic activities. Therefore, the rationale is that these states may be given a higher share.
- **Forest and ecology** arrived at by calculating the share of dense forest of each state in the aggregate dense forest of all the states
- **Demographic Performance**, introduced to reward efforts made by states in controlling their population. Computed by using the reciprocal of the total fertility ratio of each state, scaled by 1971 population data. States with a lower fertility ratio will be scored higher on this criterion
- **Tax effort** has been used to reward states with higher tax collection efficiency. Computed as the ratio of the average per capita own tax revenue and the average per capita state GDP during the three-year period between 2014-15 and 2016-17.

### Salient features of the 14<sup>th</sup> Commission

|                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Chairman</b>              | Y V Reddy                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>Set up Date</b>           | January 02, 2013                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>Recommendation Period</b> | April 1, 2015 to March 31, 2020                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>Points to Note</b>        | <ul style="list-style-type: none"> <li>• It has stepped up the <b>share of states in net central taxes to 42%</b> from 32%, which was accepted by the Union Government.</li> <li>• The Commission estimated the <b>total size of the grant to be Rs.2,87,436 crore for the period 2015-20</b>, constituting an assistance of Rs. 488 per capita per annum at an aggregate level. Of this, the grant for panchayats is Rs.2,00,292.2 crore and for municipalities is Rs.87,143.8 crore.</li> <li>• Initiatives like <b>education, health, sanitation, drainage and drinking water</b> are the <b>national priorities of the 14th Commission</b>.</li> </ul> |

**Salient features of the 15<sup>th</sup> Commission: The Way Forward**


|                              |                                                                                                                                                                                        |
|------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Chairman</b>              | N.K. Singh                                                                                                                                                                             |
| <b>Members</b>               | <ol style="list-style-type: none"> <li>1. Ajay Narayan Jha (replaced Shaktikanta Das)</li> <li>2. Anoop Singh</li> <li>3. Ramesh Chand (Part time)</li> <li>4. Ashok Lahiri</li> </ol> |
| <b>Secretary</b>             | Arvind Mehta                                                                                                                                                                           |
| <b>Constituted in</b>        | November 2017                                                                                                                                                                          |
| <b>Recommendation Period</b> | April 01, 2020 to March 31, 2025<br>(5 fiscal years)                                                                                                                                   |
| <b>Purpose</b>               | To make recommendations about the distribution of the net proceeds of taxes between the Union and States and also for the allocation amongst the States themselves.                    |
| <b>Unique point to note</b>  | First finance commission after rollout of GST<br>it may suggest devolution formula based on GST experience                                                                             |



### Box 2: Report of 15<sup>th</sup> Finance Commission

- **15<sup>th</sup> Fc is required to submit two reports**
  - **The first report, consisting of recommendations for the financial year 2020-21**
  - **The final report with recommendations for the 2021-26 period**

#### Recommendations of First Report

- In 2020-21, the following grants will be provided to states
  - **Revenue deficit grants:** To 14 states to meet their revenue deficit.
  - **Special Grants:** To Karnataka, Mizoram and Telangana as their revenue deficit has been declined (Total grant Rs 6,764 crore).
  - **Grants to local bodies:** The total grants to local bodies for 2020-21 has been fixed at Rs 90,000 crore, of which Rs 60,750 crore is recommended for rural local bodies (67.5%) and Rs 29,250 crore for urban local bodies (32.5%).
  - **Disaster management grants:** The National Disaster Risk Management Funds has been allocated Rs 12,390 crore and the State Disaster Risk Management Funds have been allocated Rs 28,983 crore.
  - **Sector-specific grants:** Recommended a grant of Rs 7,375 crore for nutrition in 2020-21. Sector-specific grants for (i) nutrition, (ii) health, (iii) pre-primary education, (iv) judiciary, (v) rural connectivity, (vi) railways, (vii) police training and (viii) housing sectors will be provided in the final report.
  - **Performance-based grants:** Guidelines for performance-based grants include: (i) implementation of agricultural reforms, (ii) development of aspirational districts and blocks, (iii) power sector reforms, (iv) enhancing trade including exports, (v) incentives for education, and (vi) promotion of domestic international tourism and the grant amount will be provided in the final report

#### Recommendations on Fiscal Roadmap

- **Fiscal Deficit and Debt level:** Both central and state governments should focus on debt consolidation and comply with the fiscal deficit and debt levels as per their respective Fiscal Responsibility and Budget Management (FRBM) Acts.
- **Off-budget borrowings:** Both the central and state governments should make full disclosure of extra budgetary borrowings. The outstanding extra-budgetary liabilities should be clearly identified and eliminated in a time-bound manner
- **Tax capacity:** (i) broadening the tax base, (ii) streamlining tax rates, (iii) and increasing capacity and expertise of tax administration in all tiers of the government.
- **Statutory framework for public financial management:** Forming an expert group to draft legislation to provide for a statutory framework for sound public financial management system
- **GST implementation:** Considering the challenges in implementation of GST and continuing dependence of states on centre to make up for shortfall in revenue, the structural implications of GST for low consumption states need to be considered.